Chapter Name

Balance of Payment

Balance of Payment Account

It is that account which records all international economic transactions between a resident of a country and rest of the world during a period of time.

Components of BOP account

1. Current Account
2. Capital Account

Current Account

It is that component of BOP account which records exports and imports of visible and invisible items, unilateral transfers from and to abroad, and factor income from and to abroad.

Components of Current account are as follows

1. Visible Items

The account records the value of exports and imports of visible items. Visible items are tangible goods like wheat, rice etc.

2. Invisible items

The current account records value of exports and imports of invisible items. Invisible items are intangible services like banking, insurance etc.

3. Unilateral transfers

The current account records the value of unilateral transfers from and to abroad. Unilateral transfer are like gift, scholarship etc.

4. Factor Income

The current account records the value of factor incomes from and to abroad. Factor incomes are like rent, interest, profit etc.

Capital Account

It is that part of BOP account which records investments from and to abroad, borrowings and lending's from and to abroad and change in foreign exchange reserves.

OR

It is that part of BOP account which records those international economic transactions which affects assets and liabilities of a country.

Components of Capital account are as follows:

1. Investment
The capital account records the value of investment from and to abroad. Investment can be portfolio investment, foreign direct investment (FDI) etc.

2. Borrowings and Lendings
The capital account records the value of borrowings and lendings from and to abroad.

3. Change in foreign exchange reserve:
The capital account records the value of increase and decrease of foreign exchange reserves of a country.

Foreign exchange reserves are defined as the stock of foreign currency with a country.

Balance of Trade
OR
Merchandise Balance
OR
Balance of Visible Trade

It may be defined as the difference between value of exports of visible items (V_x) and value of imports of visible items (V_m)

i.e $BOT = V_x - V_m$

Types of BOT

1. Balanced BOT

It is a situation when value of exports of visible items equals value of imports of visible items i.e $V_x = V_m$

2. Surplus BOT

It is a situation when value of exports of visible items is more than value of imports of visible items.

i.e $V_x > V_m$.

3. Deficit BOT

It is a situation when value of exports of visible items is less than value of imports of visible items.

i.e $V_x < V_m$

Balance of Invisible Trade

It may be defined as the difference between the value of exports of invisible items and value of imports of invisible items.

Accommodating Items

1. Accommodating items take place to cover deficit or surplus in BOP.

2. It depends to compensate the deficit or surplus in BOP.

3. It is also known as below the line item or official settlement approach.

4. Accomodating items take place only in capital account of BOP.

5. Accommodating items are important in fixed exchange rate system.

Autonomous Items

1. Autonomous Items take place in BOP due to some economic motive like profit maximization.

2. It is independent of all other BOP transactions.

3. It is also known as 'Above the line item'.

4. Autonomous items take place in both current account and capital account of BOP

5. Autonomous items occurs in fixed as well as flexible exchange rate system.

Current Account Balance and its types

It may be defined as the difference between the sum total of credit side items (receipts) and sum total of debit side items (payments) of current account.

Types of Current account Balance.

1. Balanced Current Account
It is a situation when sum total of credit side items (receipts) equals sum total of debit side items (payments) of current account.

2. Surplus Current account balance
It is a situation when sum total of credit side items (receipts) is more than sum total of debit side items (payments) of current account.

3. Deficit in Current account balance
It is a situation when sum total of credit side items (receipts) is less than sum total of credit side items (payments) of current account.

Capital Account Balance

It may be defined as the difference between the sum total of credit side items (receipts) and sum total of debit side items (payments) of capital account.

Types :-

1. Balanced Capital Account
2. Surplus Capital Account
3. Deficit Capital Account.

Distinguish between Balance of Trade (BOT) and Balance of Payments (BOP).

Balance of Trade	Balance of Payments
1. It consider visible items only.	It consider visible items, invisible items and capital transactions.
2. It may be balanced, favourable or unfavourable.	It always remains in Balance.
3. It is a narrower concept and the part of BOP.	It is a wider concept and includes BOT
4. It is not the correct indicator of the economic performance of a country.	It is correct indicator of the economic performance of a country.
5. Deficit in BOT can be met through BOP.	Deficit in BOP cannot be met through BOT.

Deficit in BOP account

It is a situation in BOP account when sum total of autonomous receipts is less than autonomous payments.

Surplus in BOP account

It is a situation in BOP account when sum total of autonomous receipts is more than autonomous payments.